

SOP Fundamentals and its Contemporary Resonance

What is a standard operating procedure in retail? How do you define retail store standard operating procedures or SOP in retail is detailed planning and defining how a task or an activity is required to be carried out. The objective of an SOP is to ensure that:

- There is a planned flow of work
- It leads to the desired output
- Standards of performance are established
- Specifying the required tools and resources
- Duties and responsibilities are spelt out
- There is no ambiguity or doubt in carrying out the activity

In any organisation, formal or informal, business or non-business, SOPs provide the opportunity to carry out processes and operations in a planned and systematic manner. From small grocery stores to giant FMCG brands, it is through SOP for retail store that businesses are able to keep a hold over their operations. For instance, FMCG companies are able to send their products to grocery stores situated in remote corners of a country over an extensive supply chain network comprising multiple entities. Each entity in this supply chain is executing multiple processes and operations. Even a small mistake on the part of any one entity can disrupt the entire supply chain and logistic operations of the company. Delays happen. But it should not happen because of poor operational planning. SOP is the tool that helps businesses plan their operations better.

Today, businesses are dependent on technology. From manufacturing to home delivery, new technologies are replacing older ones. In other words, we are adopting new ways of working that are more efficient, more effective, and better aligned with changing business priorities. What does it mean for operational planning or more specifically, SOPs? It means that now we need to look at our operational planning in the light of contemporary technologies. For instance, if customers are offered the option of changing their payment method during the process of order fulfilment, the finance SOPs must accommodate for such inflow of receipts. Therefore, technologies that are intended to be used have bearing on concerned SOPs.

Brick & Mortar

Traditional retail businesses are now facing new-age retail enterprises head on. If they do not modernise their businesses, it will become increasingly difficult for them to counter competition. Modernisation helps traditional businesses maintain sustainability in a number of ways. Say, customer experience during check out. Customers expect that this process is completed within a reasonable time. But to be able to do so, a retail store has to maintain certain operational standards and an

impeccable retail store operations sop. The barcode scanner must be in working condition. The printer should not run out of paper. The digital payment platforms must be up and running. There should be power back up for the store (otherwise devices would not work). Each of these requirements could be met only when the internal process activities are done as required. If the devices have to be in running condition, there has to be a devices maintenance process (defined with SOPs). The objective of this process is to carry out the necessary repair and maintenance activities at periodical intervals. When this background process is maintained, it is a strong step towards ensuring that the checkout process in the store meets the required standards of service and customer experience.

Today, it is no longer feasible for traditional brick and mortar retail businesses to function with undefined or discrete working systems. They also need to develop working systems that allow business growth and expansion. Uncertain ways of managing and conducting business cannot be replicated. Standard operating procedure for retail stores provide the much-needed platform for the standardisation of business processes and operations. Planned and proven processes can be easily replicated. If processes have worked at one store, with minor improvisations, they will also work at another store location. This way the retailers could be more confident about operational success when they open new stores in other locations. This also helps them maintain better operational control over multiple stores. Customers also benefit in terms of consistency of services. It is easier for local suppliers to deal with one retail enterprise with multiple stores in a city when the interactions are defined and consistent across all the stores.

The competition in retail has assumed cross-channel dimensions. Brick and mortar retail players have to also compete with eCommerce players and not only with other big retail brands. To grow and survive in a competitive environment, brick and mortar retailers have to devise new strategies and implement them operation-wise. A few ways to hold on to an existing market base is to improve customer experience, right merchandising and inventory management, introduce value-added services, go digital, make use of technology and automation, etc. These strategies need to be complemented with the right operational planning. For example, traditional grocery stores can think of providing home delivery on the lines of quick commerce. They cannot simply make this decision overnight and jump at it the very next morning. The strategy might have to be refined and improvised so that it turns out to be effective and productive for the business. Any haphazard attempt could put the existing store operations at risk. With retail store SOPs, they can define the best way to implement this strategy and carry out the operation, consistently and conveniently.

ECommerce

Ecommerce is rife with competition. Players offering the same set of services have very little scope of creating any differentiation. Take any two food delivery aggregators for example. It is the same business model for both. The restaurants are also the same. The food is also the same. The margins are more or less the same. In such a situation, *service quality and customer experience* become the area of focus. If a business fails here, customers would not mind bidding it goodbye for a while. To maintain superior customer experience and service quality, the business processes and operations must be planned and designed that way. This includes order placement, order fulfilment, delivery, payment, complaint resolution, etc. SOP is the way to ensure that operations are planned to best fit the business strategies and prerogatives. For example, in resolving customer complaints, there could be multiple solutions for multiple complaints. There could be a situation when a restaurant or delivery executive fails to complete the order after making the customer wait for the stated time for order fulfilment. But what will the customer support team do in such a situation? The company could make the next order free for the customer within a reasonable limit. It could issue discount coupons. These things should be planned and accommodated for. And the right place to do so would be the customer complaint resolution process defined as SOPs. Why SOPs? All complaints need to lead to these solutions. It is depending on the complaint that the right solution should be arrived at. SOP is the step by step way to achieve this goal.

Quicker operations are an important requirement in eCommerce. This is one of the core values offered by eCommerce. If a business fails here, it fails at eCommerce.

Ecommerce players not only need to deliver quick service but they also have to be quicker than their competitors. For example, customers seek delivery of their orders at the earliest possible time. It is a deciding factor for customers in purchase-making decisions. With everything else remaining the same, customers will choose the eCommerce store or platform that offers him/her earlier delivery. This difference could be of a day or a few hours or even a few minutes maybe (Q-commerce). But how do SOPs help improve eCommerce operations? With SOPs, processes can be well-defined. It is easier for employees to follow well-defined standard operating instructions. With SOPs, processes can be simplified making the execution faster and smoother. In the aforesaid example of customers choosing brands that offer quicker delivery options, task completion timelines can be specified in the SOPs for each entity involved in the supply chain. When every operation in the order fulfilment process is carried out adhering to the stated deadlines, the final output i.e. delivery to customers at the promised schedule becomes a planned possibility.

Automation and digital technologies are the backbone of eCommerce operations. Whether it is the use of digital analytics for strategic insights or the use of industrial automation solutions in the warehouses and distribution centres, technology is a critical support system for eCommerce businesses. At all times, the *technology*

infrastructure must remain in working condition. And from time to time, machines do break down and software applications do crash. For example, sometimes mobile apps develop glitches or become vulnerable to security threats. It is the responsibility of the IT team to ensure that such issues are addressed on an immediate basis. Therefore, corrective measures need to be made a part of the routine operational planning. SOPs help businesses ensure that the checking, repair, and maintenance activities of all technological assets become a part of operational planning. Duties and responsibilities could be assigned for carrying out these activities. The timelines and standards of output for these activities could be established.

In the retail sector, good operations depend largely on procedures that are well defined and good and sound workflows. For example, SOP for retail merchandising ensures that product placement and management of inventory go well towards maximum sales and good customers. Similarly, standard operating procedure for retail cashier or standard operating procedure for cashier ensures that the checkout process is streamlined, few errors occur, and people coming to shop have better interaction. Probably, efficient inventory management across multiple locations is usually the principal of using a multi-store inventory management system. A combination with outstanding retail warehouse operations improves the availability of stock while avoiding overstocking and is, hence, helpful for smooth retail business flow.

Visual tools like a retail store flowchart help businesses plan and chart out the entire process of their retail business process flow and retail industry process flow, so that clarity can be obtained right from restocking to handling transactions. Besides, a well-designed retail shop billing flow chart or retail shop billing flowchart expedites the tedium of taking fees from customers and staffs for checkout. Whether it is a service blueprint of a retail store, a retail journey map, or retail experience map-these are important tools for providing consistency and superiority in the customer experience of all operations.

Omnichannel

More and more retailers are realising that by going omnichannel they can tap a large market share. In brick and mortar, the business is confined to local geographical limits. With eCommerce, businesses miss out on the advantages of having a physical storefront. Multichannel or omnichannel retailing resolves this problem and lets retailers benefit from the advantages of both brick & mortar and eCommerce. But managing an omnichannel retail business is more complicated than a single channel or multiple channels separately. An omnichannel business cannot be operated in the same way as a multichannel business. Here, the expertise of both brick & mortar and eCommerce intertwined as one is required. Omnichannel requires that unique and overlapping business processes and operations are brought under *one common operational framework*. SOPs help in simplifying the operational complexities

associated with omnichannel retailing. It makes mapping discrete business processes and operations easier. It creates clear segregation of jobs and responsibilities in a process cutting across channels.

Omnichannel also intends to provide customers a seamless experience across channels. For instance, many fashion retail brands allow customers to place an order in the store and then the product gets home-delivered to the customers' doorsteps. It may happen when the desired size or colour is not available in the store at a time. But when the stock arrives in the store, the order is processed. With the standard operating procedure for retail stores, businesses can ensure that reorders are made on time and order fulfilment is completed as promised. Without any defined operational planning, there may be uncertainty as to who will place the stock request and to whom, when will the inventory team inform about the arrival of fresh stock, who will process such orders when the stocks arrive, who will see to it that such orders have been processed, has the customer made any cancellations or modifications?, who will check and confirm the order before it is sent for delivery, who will deliver the orders, etc.

Employee management is another big challenge with omnichannel enterprises. In poorly-defined working systems, it is likely that tasks may be forgotten or there could be blame-gaming within teams and interdepartmental conflicts. The organisational design and team formation tend to be complex in omnichannel businesses. Some employees may have to report to multiple authorities. The chances of overlapping of duties and responsibilities are higher. In such circumstances, it is important that the working systems are defined using SOPs so that there is no scope for doubt and ambiguity as to one's duties and responsibilities. For instance, some departmental stores struggle with manpower issues during peak business hours. Manpower allocation between executing in-store operations and fulfilment of online orders become challenging. Sometimes customers in the store are made to wait. And sometimes online orders are delayed. These kinds of operational hiccups could be managed to a great extent without increasing manpower. The answer lies in Standard Operating Procedures. With SOPs, businesses can define who will manage store orders and who will process online orders, the ideal timeline for making an order ready for delivery, who will do the delivery, has the payment for the order already been made (if not the payment has to be collected), who will help customers in the store, etc.

Challenges in SOP development and implementation

Want of Domain Expertise

Mere understanding of SOPs is one thing and developing them is quite another. Lack of domain expertise and experience is the biggest challenge in SOP development and implementation. Whether it is a multinational corporation or a small startup, without process experts no business is equipped enough with what is required here. What makes things more complicated is that there are no established standards or rules for SOP design. It is as much open for innovation as it is for mistakes.

Designing SOPs for simpler operations may not be a tough task. But complex processes can present challenges. Take for example the payroll process in a big company where the salary structures are extensive with a wide number of fixed and variable components. There are intricate calculations involved. The inputs have to be

assimilated from multiple sources. Each source will be having its own process of arriving at these inputs. Some allowances have to be verified with the bills provided. Some allowances need the approval of their reporting bosses. Then, there are statutory deductions to be made as per the prevailing norms. Multiple people get involved in the payroll process with each having their own part to play. The process needs to follow multiple parallel activities integrated at the right places at the right time in such a way that the process flow is smooth and unhindered. Any process owner missing a thing could stall the entire process. There is no way that such a complicated process could be executed in an unplanned manner and without using SOPs.

People-dependency Instead of Process-orientation

People run business processes. But that should not come at the cost of beating the processes or having no process at all. Processes help keep the performance of the employees within the desired parameters. And more than that, it helps businesses keep their operations aligned with the business and functional goals and objectives. An example would serve good here.

A concern for online retailers is product exchanges due to delivery of damaged products. Product exchanges increase the order fulfilment cost. It makes the exchange process more cumbersome for both the company and its customers. Retailers can address this problem to a great extent by developing SOPs or improvising the existing ones. All that is needed to be done is let customers quickly verify the product delivered in the presence of the delivery executive. This cannot be an extensive verification process but at least some bricks could be saved as we see in so many cases. This could be applied in the case of products where a quick verification is possible. If businesses leave it to the customers and delivery executives (people-dependency), they might not know the best way out. By not improvising the SOPs to address resolvable problems and make business activities process-oriented, retailers put their brand name at stake. Customers will find another store. The delivery executives will find another job. The bottom line is that if business processes are completely left to people without any roadmap and benchmarking, how they act or respond may not be in the best interest of the business as well as customers.

Coordination Difficulties

If an SOP fails to establish the necessary operational relationships between the involved departments of a company, it is then not an effective SOP. And it is not just the departments, but also any external entity involved in a process that an SOP should be able to bind in the flow of work. Theoretically, it may sound easy-peasy but the task gets challenging when it gets down to the detailed mapping of processes and operations. There are hundreds of details to be considered and incorporated in SOP mapping.

In larger organisations, mapping the required interdepartmental coordination is even more difficult. Processes and operations can involve the role of multiple departments and positions. This is evident in audit processes. The audit team has to carry out multiple activities simultaneously across an organisation keeping the scope of the audit in mind. The only way to do this right is to do it in a planned and systematic manner. Otherwise, audits become a cause of distraction.

External entities could be also involved in business processes. This includes suppliers, vendors, contractors, agencies, government departments, etc. It is difficult for businesses to exert influence over external entities to follow SOPs defined by them. This adds uncertainty to SOPs where external entities are involved.

External entities could also be customers. Take the example of handing over bills to customers during check out at retail stores. It may sound like an insignificant point. Many times bills are printed out but kept aside or are forgotten to be handed over to customers. Some customers may not even insist on a bill. But when this becomes a practice, it can create problems. As processes get side-lined, the supporting systems also become weaker because the need to have them would be gone.

Lack of Process Flexibility

While cementing business activities with robust rules and regulations, businesses also need to bear in mind that there may emerge altered scenarios and possibilities. But often in pursuit of strict adherence to policies and strategies, businesses end up making their processes rigid. This rigidity in process definition could stall processes. Suppose a company writes its leave approval process in such a way that only the reporting authority has the power to sanction leave applications of their subordinates. Sounds like a standard norm but this is a rigid process. If the reporting authority is off-duty, then who sanctions the leave applications? The process should also define alternate leave sanctioning authorities and state the same clearly in the retail store SOPs. The company may think that it has developed and implemented SOPs. But rigidity in processes renders their SOPs ineffective leading to undesirable situations. In this example, employees will feel frustrated at not having their leaves sanctioned. In the case of emergencies, they might be bound to go on unauthorised and unpaid leaves.

A strong desire for centralisation is also another contributor to lack of process flexibility. When the top management seeks a high concentration of decision-making power, the adverse consequences of this are reflected in the routine operational planning. Delegation of authority and responsibility gets limited. The processes become rigid. In such circumstances, the SOPs become less focused on business performance and operational efficiency. SOPs become a tool for establishing centralisation. That is not how or why SOPs are developed and implemented.

Mismatch of SOPs and IT-automation Solutions

The goal of digitisation and automation is to make processes and operations more effective and efficient. But in this pursuit, there should not be any unwarranted deviation from business objectives and more specifically, the process and operational requirements. For example, if a company starts using digital analytics, the software should be able to gather the necessary data and generate the required reports. If the reports are not in the required format or any field of information or assessment is missing in report generation, the flow of work will be disturbed. Without the necessary information, decision-making will be affected. Following SOPs becomes difficult when inputs are not available for processing the output.

A poorly defined sop for retail is a major cause of any possible misalignment between procedures and technology. What kind of software or automation solutions will be required are based on the operational requirements. When these requirements are not properly identified and defined, businesses end up choosing the wrong or mismatched technological solutions. SOPs cannot be a success in a mismatched technological environment.

In SOP development and implementation, it is also important to keep technologies in sight. Because when digitisation and automation is applied, the SOPs would be executed through them. Expertise in SOP development and understanding of business technologies are both important in making SOPs successful in a digitised operational setup. Without the necessary expertise, it is difficult for businesses to find the best-fit digital and automation solutions that could support their SOPs.

Lack of Proper SOP Training

One of the biggest, undermined challenges in SOP implementation is making employees convergent with following the SOPs. Just because a few employees have spent time developing the SOPs does not make the rest of the organisation convergent with the SOPs so developed. It is important that employees who would be following the SOPs feel at ease with the new ways of working. It is important that employees are provided the necessary education, training and follow-up supervision during SOP implementation, especially during the early stages. Employees might pick up many things on their own if the SOPs are easy to understand and intuitive. But that is a risk worth not assuming. Some preliminary education and training provide employees with a head-start. Follow-up supervision helps in identifying the struggling areas as well as loopholes in the SOPs.

The lack of training resources is also a constraint for many businesses. Sometimes there are no provisions for SOP training in the business budgets. Finding process experts for designing and delivering SOP training is also a challenge. The willingness to put employees off the desk for training is waned by the fear of disturbing routine business operations. But if SOP implementation is important, then training and

education for the same cannot be ignored. There are training methods that allow businesses to train and educate their employees while being on the job and under the supervision of training experts. If the managers and team leaders provide the training, then it becomes necessary that these people are trained first. Also, all the employees need not start training at the same time. Training could be provided batch-wise as well.

How we do it: SOP Development Methodology

The benefits of standard operating procedures are desirable and at the same time, there is also no definite answer as to how to write a standard operating procedure for eCommerce or retail or how to make a good standard operating procedure for omnichannel retailing.

With the conceptual understanding of SOP and the right methodology, the task of SOP development and implementation can be carried out in a planned and systematic manner. We, at YRC, follow a planned and proven methodology in the design and delivery of our SOP services and solutions. A brief introduction to our SOP development methodology (How to develop standard operating procedures for omnichannel, eCommerce, and brick & mortar retailing) is highlighted below.

Defining the process goals and objectives

Every business process is meant to achieve certain objectives. For instance, one of the objectives of a payroll process is to ensure that wages and salaries are paid timely and correctly to employees. The specific parameters vary from business to business. If a process fails to meet any of its objectives due to its design, something must have gone wrong with its planning and definition. It is the objectives of a process that primarily determines how it should be designed and implemented. Defining the process goals and objectives is one of the foremost guidelines for standard operating procedures.

Determining and establishing the process goals and objectives is one of the foremost activities we undertake in designing our SOP solutions and services. We consider a multitude of factors that go beyond the process under development.

A process can fail if the objectives are not well-defined or are not aligned with the business requirements. For example, if the salary payment date is defined as a wide range of days, it would add vagueness to the process. There may be tendencies to delay and the sense of urgency to adhere to the process objectives could go missing. But when the end results are well-established, every preceding activity will have to be planned and conducted keeping the output standards in mind.

Sometimes a process can be affected by other processes and policies also. We seek to eliminate such possibilities. For example, timely payment of salaries cannot be achieved if the finance department follows a policy that no payment would be authorised if the head of the finance department is on leave and it does not make any alternate provision.

Mapping the existing processes and practises on an AS-IS basis

Before a process is designed or SOPs are developed anew, it is important to determine how activities are currently carried out. These inputs are critical for designing the solutions in the later stages.

We understand that introducing major operational overhauls can be difficult. That is why we seek to ensure that the new process definitions or the SOPs do not cause any major disruption to the existing ways of working if these are already on the right track. It is possible that a business is already following the right operational strategies. The

employees are already accustomed to the right practices. It is easier to develop and implement SOPs in such cases with minor improvisations following the due process.

But when things are not in the right context, the assessment of the existing processes and practices serves as a foundation for comparison with what is required. For instance, it may happen that the officially-established processes are combined with undefined practices and yet the right output is consistently achieved. Those are still not good processes because of dilution with undefined ways of working. Without the as-is mapping of the existing processes and practices, it may become impossible to find deviations in the business processes and operations. Business owners and managers may continue to believe that since outputs are being achieved, the processes are correct too.

Gap analysis

In process gap analysis, we seek to find and establish the deviations, if any, between how a process should be and what it currently is. Our objective is to go to the specific details of such deviations at this stage.

For example, in a retail store, the purchase policy or process may say that the inventory team is also required to carry out quality checks. But in practice, we find that although the on-duty employees of the inventory team are carrying out the quality checks, they are not sending any report back to the store manager. Or there is no such procedural requirement as well. Clearly, there are deviations between the defined policies or processes and the actual practices. In a retail business, brandishing faulty products on the shelves or delivering such products to customers is not a healthy sign of managing retail business operations.

Keeping such loopholes unaddressed keeps a business susceptible to process failures. Without defined standards, businesses might not even realise what and where they are lacking. Our mission is to ensure that retailers manage their business operations with an approach of zero tolerance for errors and mistakes. If there are deviations between desired and actual performances, our duty is to find those deviations in the business operations.

SOP design and development

Once our experts are at disposal of the insights and information assimilated from the previous stages, they begin working on drafting the SOPs. We follow a planned set of activities in defining the processes and developing the SOPs. The process objectives, detected deviations, functional requirements, inter-departmental coordination, and business prerogatives are duly taken into consideration. Possible impacts on external process stakeholders are also considered. The language and format presentation of the new SOPs are adopted with the objective of keeping them simple and intuitive to the

process owners. As per requirement, various formats put to use include checklists, flowcharts, hierarchies, and step-by-step instructional diagrams. We use global standards for SOP writing and formatting based on business requirements and prevalent industry norms. Once we are ready with the new SOPs, we pass the results on to the next stage of checking them for their implementation efficacy.

Validation

Even after all the due diligence adopted in developing a new product or solution, there still remains uncertainty about its success when the product is launched or the solution is put to use. This makes validation an important part in the development of any product or solution. This measure makes it possible to make the necessary improvisations for better performance and results under the heat of real-life circumstances.

In validation, we make the new SOPs run through a few simulations and test runs on a small scale. With increasing confidence, we keep on adding more variables and expand the run to include more areas of business. Sometimes everything goes smooth and sometimes scope of improvisations is revealed. There could be redundancies in the new process which could be eliminated to make the process more efficient. Sometimes validation also reveals the scope for minimising the role of process owners. Specific training needs could also be identified. At this stage, clients may also seek some last-minute modifications in the process definitions.

After the validation stage and incorporating the identified changes, the SOPs are finalised from our side and sent to clients for their feedback, if any, and approval.

Identifying IT solutions

Hardly any retailer could deny the need for digital transformation of their enterprise. Market development, digital marketing, customer experience, operational efficiency and scores of other areas of business are affected simply by a decision – whether to embrace digital transformation or not. A brick and mortar retail business may want its customers to be able to place their orders online. An eCommerce retail business would seek to target new market regions with the help of analytics-based strategy formulation.

In the area of digital transformation, we assist our clients in identifying the best-fit digital and automation solutions for their enterprise. We help them identify and specify their IT and automation requirements. The ultimate objective is to ensure that the right technological solutions are used for carrying out the business processes and operations as defined by the SOPs.

We are not into software development or selling any automation or software application. Our role is to help clients assist in the process of identifying the best solutions. We also offer assistance in developing the vendor selection process and

preparing the associated financial budget. Only the client shall finalise what product they want to buy and whom they should buy it from.

SOP Training

If asked to perform the same tasks in a different way, even a veteran employee may encounter a strange experience. This is a typical consequence associated with SOP implementation whether or not SOPs have been previously followed or not in an enterprise. Such feelings are detrimental to employees' productivity. It could slow down business operations. New ways of working could even be resisted for both valid and invalid reasons. This is where taking employees into confidence becomes important for businesses. And speeches must follow up with action. A much-required move in this direction is providing a suitable education and training program to the employees. The need for education and training assumes even greater significance when digital and automation solutions are introduced alongside SOPs.

Our goal in training design is to make employees convergent with and comfortable with the new operational environment. We understand how important it is to address the human aspect first before asking employees to embrace new ways of working. We also offer the service of carrying out these SOP training programs. The training modules are designed and executed by experienced trainers and process experts.

In-built mechanism for improvisations

Process agility is underscored in our SOP solutions and services. We never say that SOPs once developed and implemented have to be kept that way forever. We realise that business is subject to changes in its environment. Making operational changes become necessary for many reasons. Sometimes it could be a result of changes in planning and strategies. Sometimes a new location may demand alternations in the SOPs. Periodical assessments may also reveal reasons for improvising any SOP. We seek to ensure that the SOP solutions we design possess a certain degree of flexibility and a mechanism for improvisations exists within the SOP framework.

Vision for our retail SOP solutions and services

Easy Adoption of Digital Transformation

Today, there is hardly any business activity left that is not executed with the aid of digital technology. Business decisions are based on insights derived from digital analytics. Purchase reorders could be placed automatically. Products are offered for sale on social media platforms. Customers are provided multiple digital payment platforms for paying their bills and making purchases. Order fulfilment statuses can be digitally tracked. This digital pervasion is no longer an alternative but has become a necessity for superior customer experience, value-addition, competitiveness, the efficacy of business processes, etc. Digital transformation has fundamentally altered how businesses operate and deliver value to their customers. In retail, it is one of the best

answers to the question – what is the significance of standard operating procedure in retail store?

A big challenge with digital transformation is that it threatens the status quo. Businesses face uncertainty as to how things will turn out post-adoption of digital transformation. Sometimes the concerns are genuine because of lack of experience and expertise in planning for and implementing digital technologies. Even the big companies do not get it right the first time. Sometimes the concerns merely stem out of being habituated with the existing ways of working. In the face of digital transformation as a necessity, these challenges could be addressed with expert enterprising and change management.

Our vision is to make sure that the adoption of digital transformation is made easy and simple. From planning to implementation, we follow robust and proven models for the successful adoption of digital and automation solutions. Our retail SOP services and solutions are developed keeping in sight the digital and technological solutions, business requirements, challenges, and specifications.

We assist clients to identify the best-fit digital solutions for SOP implementation in their business. We also design vendor selection processes that help clients buy the right product from the right vendor. Only the client shall finalise what product they want to buy and whom they should buy it from. If clients ask for, we provide the necessary support in implementing the digital solutions.

Higher employee productivity

With the adoption of SOPs, it is anticipated that business processes and operations will be carried out more efficiently and effectively in a planned and systematic manner. The application of digital technologies plays a critical role. Advancements in automation are making these processes shorter and easier. But we have not yet reached that age where a business is entirely automated. We are still dependent on human intervention for the most part of the business processes and operations.

Even with the use of digital platforms, the role of employees cannot be negated in carrying out business activities. It is the employees who use these technologies to execute the business processes and operations. For example, analytics can reveal meaningful insights processing huge volumes of data. But the team using the software must know what kind of reports and insights are required and when these are required. This information then becomes input for further decision-making in carrying forward the process. The next employee in the process will use this information in a different way with other sets of information and instructions using another form of digital technology.

Improving employee productivity levels remains one of our topmost prerogatives. We aim to achieve this objective via the means of:

- Procedural simplicity
- Intuitiveness in SOP representation
- Education and training support
- Change management

SOPs should not look like a map of the world pasted in front of every desk. SOPs should appear simple to its users. Keeping the SOPs simpler helps employees easily visualise and retain the flow of work. This need not happen on day one. But people pick up instructions that appear simple more quickly than the same set of instructions represented in a less simple way.

User experience is an important consideration in SOP design. Our minds always seek the answer to – ‘what is next’. When the shown paths are intuitive, people tend to embrace those patterns more comfortably over paths and patterns which do not add up to logical thinking.

Relevant education and training provide the much-needed orientation between employees and new process definitions.

Sometimes SOP implementation also faces hardships. New ways of working can easily attract resistance or dissatisfaction that may or may not be instantly apparent. Sometimes the reasons could be valid and sometimes not. It is important to consider the human aspect here and implement the necessary change management initiatives.

Enhanced Customer Experience (CX)

The experience delivered to customers is a powerful tool for creating a strong and unique value proposition along with the core offering. It helps businesses outshine competition and build a base of loyal customers including brand advocates. Customers tend to revisit stores or make repurchases or try new products when their previous experience with a brand was a good one. Thus, if good CX levels could be created and maintained, it also secures steady footfall, improving sales and smooth flow of revenue. However, there should not be any deviation in other areas of offerings and services. The importance of delivering a superior customer experience could not be stressed more in the retail landscape.

In the customer journey, customers interact with retail brands at multiple touchpoints. Every such point delivers an experience for the customers. These touchpoints could be a physical advertisement banner, brand’s website, views and interactions on social media posts, order delivery, etc. Definitely, good CX strategies are required but the implementation of these strategies also has to be as good. This is where SOPs come into the picture. Through planned and well-defined standard operating instructions for CX activities, it becomes easier for businesses to ensure that their CX strategies are

consistently executed as intended. SOPs also help businesses achieve standardisation of operations which in turn, paves the way for consistency in services.

We, at YRC, recognise how important it is to deliver superior levels of service experience to our clients. The same goes for every other business. It is because of our clients and customers who, at the end of the day, help us keep our businesses running. And achieving this is not going to happen without process orientation and robust operational planning. The necessary CX elements have to be incorporated in the retail standard operating procedures manuals. YRC's team of process consultants conduct a detailed scrutiny of the customer journey. The objective is to pinpoint the CX touchpoints and define the customer expectations at different stages.

Smooth coordination with external entities

Are SOPs confined within the four walls of the organisation? Is there any significance of standard operating procedures beyond the organisation? The answer is a big and bold affirmative. There are many business processes and operational activities that go beyond the organisation and interact with several external entities. These include vendors, suppliers, agencies, government departments, potential employees (at the time of recruitment), etc. This makes these entities stakeholders in business processes. They have a role to play in the operational activities. For example, bills are submitted by suppliers and then those bills have to be paid. For effective and efficient handling of these activities, operational roadmaps are required as a part of the internal SOPs. Unplanned dealing with external entities may lead to many undesirable circumstances. For instance, failing to pay the due taxes on time could attract penalties. Various important considerations here that need to be incorporated with the internal SOPs are due dates, prescribed formats, tax calculation methods, tax submission authority, etc. There could be more of such instances where it becomes necessary for business enterprises to execute their processes in a planned and systematic manner.

Our objective is to ensure that the operational interactions with external entities could be conducted by clients in a smooth and planned manner via the use of SOP solutions. We take into consideration all the relevant touchpoints where interaction with external entities is involved. Each touchpoint has certain operational relevance. Our job is to include the necessary activities and elements in the SOPs. This is done keeping in mind that sometimes it is possible to ask outsiders to follow internal rules and at times, it is not feasible. Wherever it is not possible, the internal SOPs are adjusted to meet the requirements of the external entities in question.

Safeguard Brand Name and Goodwill

Branding is important for businesses not only to impress customers but also to maintain goodwill in the eyes of every group of stakeholders who interact with the business. These groups could be customers, employees, vendors, agencies, suppliers,

regulatory bodies, etc. The perceptions and opinions of these entities affect the working relationship of businesses with the other entities. For instance, when a company is fined by a government department for the contravention to any rule or regulation, it affects the brand perception and goodwill of the company to other stakeholders like customers and suppliers. Now, what has SOPs to do with all these events?

A business enterprise succeeds in maintaining its brand name and goodwill when it has good corporate governance and operates with the required levels of competence, fairness and transparency in all the areas of business. But those are at the level of management philosophy, policies, strategies, planning, rules and regulations, etc. The key part is living up to the promises when it comes to action. SOP is the medium through which these standards could be translated and incorporated into the planned course of operational activities. Deviation from SOPs leads to deviation from the commitments made.

Understanding and mapping the entire journey a customer undertakes while interacting with a brand is a critical part of improving the retail customer experience. A retail customer journey map is then called for to bridge this gap between where things are and how things should be. It would help a business to visualize at what stage in a customer journey map retail store, the customer discovers the brand, makes a purchase, and reaches a purchase decision. Creating a customer journey map for retail ensures that the companies can identify specific areas where improvement is necessary and then delivers seamless consistency across all touchpoints.

As SOP consultants and process experts for more than a decade, we see SOPs and retail standard operating procedures manual as the ultimate tool of keeping the business processes and operations on the intended course. And when processes and operations are on course, the business is also on its course of maintaining the unspoken promises and spoken commitments to its stakeholders.